

Rigetti Computing, Inc.
 RGTI NASDAQ

Hold	\$15.59 ▼ 3.26%	12M Price Target \$22.00	52-Week Range \$12.53 – \$58.15	Market Cap \$5.18B
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RGTI: Quantinuum IPO Overhang Pressures Pure-Play Quantum Names

WHAT HAPPENED

- Stock down 3% on light volume (only 4.6M shares vs. 20M+ recent days) — this is the tail end of a 9-day slide that Insider Monkey flagged. The catalyst is Quantinuum's IPO, which just gave institutional investors a bigger, better-funded, Honeywell-backed pure-play to rotate into. When a premium competitor lists, the "scarcity premium" on RGTI shares evaporates.
- Broader risk-off in speculative quantum names — IonQ down 36% in a month, D-Wave and QUBT also hit. Tech ETF is actually UP 1.17% today, so this isn't macro — it's sector-specific rotation OUT of quantum and into profitable AI.

WHY IT MATTERS

The Quantinuum IPO is the real story here, not the daily tape. Think of it like this: for two years, RGTI and IonQ were the only public "pure-play" ways to bet on quantum — that scarcity alone was worth billions in market cap. Now there's a third option that's arguably more advanced (trapped-ion tech, Honeywell's balance sheet behind it), and that scarcity premium is being repriced in real-time across the whole group. The insider sale in late June at \$20.55 by Director Ray Johnson looks prescient now — when directors dump seven figures right before a known competitor IPO, pay attention. The 52-week range tells the whole story: stock traded at \$58, now \$15.59, sitting at just 7% of its range — this is a broken momentum stock searching for a valuation floor.

POLICY & POLITICAL WATCH

The National Quantum Initiative Reauthorization Act is the single most important piece of legislation for RGTI — the original 2018 law expired and Congress has been dragging its feet on reauthorization, which would unlock another ~\$2.7B in federal quantum R&D funding through DOE, NSF, and DARPA. RGTI is a direct beneficiary through its DARPA Quantum Benchmarking Initiative contracts. Also watch the FY2027 defense appropriations markup this fall — quantum sensing and quantum-resistant cryptography line items are where RGTI competes, and any trimming there hits the growth story directly. On the friendly side, US-China tech decoupling actually HELPS Rigetti — export controls on quantum tech to China mean domestic players get protected market share.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$15.59
12M Price Target	\$22.00
Upside / (Downside)	+41.1%
Market Cap	\$5.18B
FY2026E Revenue	\$18M
FY2027E Revenue	\$32M
FY2026E EPS	(\$0.35)
FY2027E EPS	(\$0.28)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$19.00	\$16.00	\$12.50
6 Months	\$26.00	\$18.00	\$10.00
1 Year	\$35.00	\$22.00	\$8.00
2 Years	\$55.00	\$28.00	\$6.00
5 Years	\$120.00	\$45.00	\$3.00
10 Years	\$300.00	\$80.00	\$1.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Communication Services (+1.35%) and Technology (+1.17%) — money is flowing into profitable, cash-generative tech (mega-caps, ad platforms) as investors de-risk from speculative names before earnings season.

COOLING OFF: Speculative quantum, small-cap biotech, anything pre-revenue. Materials also weak (-1.6% over 5 days) on softer China demand data.

ROTATION WATCH: Classic "risk-off within tech" — money is leaving pre-revenue moonshots and consolidating into AI winners with actual earnings (NVDA, AVGO, GOOGL). That's a direct headwind for RGTI until either quantum shows commercial traction or rates get cut aggressively.

RELATED PLAY: If you believe in the quantum thesis but want less binary risk, IBM and Alphabet both have serious quantum programs buried inside profitable businesses — you get the optionality without the cash-burn anxiety.

WHO'S WINNING IN THIS SPACE?

- QBTS (D-Wave): Down with the group but has actual commercial annealing revenue — holding up slightly better because the business model is more mature.
- IBM (IBM): The "safe" quantum play — its quantum roadmap is arguably ahead, and you're paid a dividend while you wait.

RGTI CONTEXT: RGTI is lagging the broader tech tape badly — Tech ETF up 2.4% over 5 days, RGTI down ~8%. When a stock can't rally with its sector, that's a tell: institutions are net sellers regardless of macro. Until that changes, rallies are for selling, not chasing.

WHAT I'D DO WITH THIS STOCK

4/10 Conviction Score

Position Size: 1-2% of portfolio (speculative sleeve only)

Entry Points: \$12-14 on further quantum sector washout

Time Horizon: 24-36 months

Thesis Invalidation: Cash burn accelerates without commercial revenue traction, or federal quantum funding gets cut in FY27 budget

Hedging: Pair with a profitable AI/semis name (NVDA, AVGO) or short an equal-weight quantum basket